

Director of the Agency for the Protection of Personal Data

Zdravko Vukić participated on February 28 in the meeting of the European Data Protection Board, during which an opinion was adopted on the draft Decision on adequacy regarding the data protection framework between the EU and the USA. The European Data Protection Board welcomes significant improvements, such as the introduction of requirements that embody the principles of necessity and proportionality for data collection in the USA and a new legal protection mechanism for data subjects in the EU. At the same time, it expresses concerns and seeks clarifications regarding several points. The clarifications particularly relate to certain rights of data subjects, further transfers, the scope of exceptions, temporary mass data collection, and the practical functioning of the legal protection mechanism.

The European Data Protection Board would welcome not only the entry into force but also the adoption of the Decision on the condition that all American intelligence agencies adopt updated policies and procedures for the implementation of Executive Order 14086. The EDPB recommends that the Commission assess these updated policies and procedures and share its assessment with the European Data Protection Board.

The Chair of the European Data Protection Board, Andrea Jelinek, stated: "A high level of data protection is crucial for safeguarding the rights and freedoms of individuals from the EU. While we acknowledge that the improvements in the US legal framework are significant, we recommend that the expressed concerns be addressed and that the requested clarifications be provided to ensure that the adequacy decision is sustainable. For the same reason, we believe that following the first review of the adequacy Decision, subsequent reviews should be conducted at least every three years, and the EDPB is committed to contributing to this."

The draft adequacy decision, published by the European Commission on December 13, 2022, is based on the Data Privacy Framework (DPF) between the EU and the USA, which is intended to replace the Privacy Shield framework that was invalidated by the EU Court in the Schrems II ruling. A key component of the DPF is the Framework Principles for Data Privacy between the EU and the USA, issued by the US Department of Commerce. The DPF applies only to US organizations that have self-certified. The European Data Protection Board has now issued an opinion on the draft decision, which considers the commercial aspects and access of US public authorities to data and their use. Regarding the commercial aspects, the European Data Protection Board welcomes a series of updated principles in the Data Privacy Framework between the EU and the USA (DPF) in relation to the Privacy Shield. It also notes that a number of principles remain fundamentally the same as in the Privacy Shield framework. In light of this, there are still certain concerns regarding, for example, some exceptions to the right of access, the absence of key definitions, lack of clarity regarding the application of DPF principles to processors, broad exceptions to the right of access to publicly available information, and the lack of specific rules on automated decision-making and profiling. The European Data Protection Board further reiterates that the level of protection must not be compromised by further transfers. Therefore, the EDPB calls on the Commission to clarify that the protective measures imposed by the initial recipient on the importer in a third country must be effective in light of the legislation of the third country, prior to any further transfer.

Furthermore, the European Data Protection Board requests that the Commission clarify the scope of exceptions regarding the obligation to comply with the DPF principles and emphasizes the importance of effective oversight and enforcement of the DPF. The European Data Protection Board will closely monitor these aspects, along with the effectiveness of the legal remedies available to EU data subjects whose personal data are processed in a manner that violates the Data Privacy Framework between the EU and the USA (DPF).

Regarding government access to data transferred to the USA, the European Data Protection Board acknowledges the significant improvements introduced by Executive Order 14086. The Executive Order introduces the concepts of necessity and proportionality regarding the collection of intelligence data in the USA (signal intelligence data).

Furthermore, the new legal protection mechanism creates rights for individuals from the EU and is subject to review by the Privacy and Civil Liberties Oversight Board (PCLOB). The Executive Order also introduces more protective measures to ensure the independence of the Data Protection Review

Court (DPRC), which was not the case with the previous Ombudsman mechanism, and introduces more effective legal remedies in cases of violations of data subjects' rights, including additional protective measures for data subjects.

The European Data Protection Board emphasizes the need to closely monitor the practical application of the newly introduced principles of necessity and proportionality. Additional clarity is also needed regarding temporary mass data collection and the further retention and dissemination of aggregate data.

The European Data Protection Board also expresses concern over the absence of a requirement for prior approval from an independent body for mass data collection in accordance with Executive Order No. 12333, as well as the lack of systematic independent ex post review by a court or an equally independent body.

Regarding prior independent approval of oversight under Section 702 of FISA, the European Data Protection Board expresses regret that the FISA Court does not review compliance with Executive Order 14086 when approving programs that authorize targeting individuals who are not US citizens, even though the intelligence agencies implementing the program are bound by it. Reports from the PCLOB on how the protective measures of Executive Order 14086 will be implemented and how these protective measures are applied when data is collected under Section 702 of FISA and Executive Order 12333 would be particularly useful.

When it comes to the mechanism of legal protection, the European Data Protection Board recognizes additional protective measures, such as the role of special advocates and the review of the legal protection mechanism by the PCLOB. The European Data Protection Board is simultaneously concerned about the general application of the standard response of the Data Protection Review Court (DPRC) which informs the complainant that no violations have been found or that a decision has been made ordering appropriate corrective measures, especially considering that there is no right to appeal that decision. The European Data Protection Board therefore calls on the Commission to closely monitor the practical functioning of this mechanism.